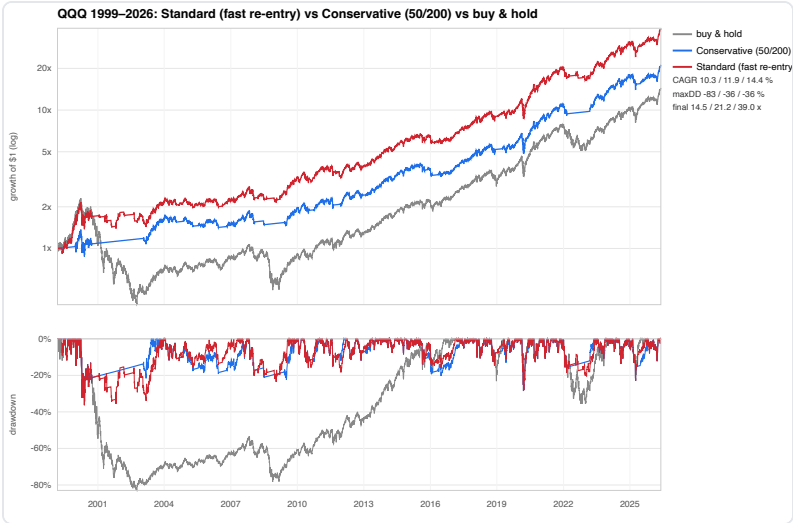


QQQ Trend-Filter Strategy

Long/flat timing — hold QQQ while its trend is up (50-day average above the 200-day), step aside to cash when it rolls over. Captures most of buy-and-hold's return at roughly half the drawdown.

▲ **LONG** as of 2026-05-29 · close 738.0 · SMA-50 653.0 > SMA-200 618.0. **Standard** since 2025-06-30 · **Conservative** since 2025-06-24.



Growth of \$1 (log) and drawdown, 1999–2026. Standard (red) compounds fastest; both filters dodge the –83% dot-com crash that buy & hold (gray) takes in full.

1999–2026	Standard	Conserv.	Buy&hold
CAGR	14.4%	11.9%	10.3%
Growth of \$1	39.0×	21.2×	14.5×
Max drawdown	-36.0%	-36.0%	-83.0%
Sharpe	0.58	0.49	0.35
Calmar	0.4	0.33	0.12
OOS 2004+ CAGR	14.1%	12.4%	14.7%
OOS drawdown	-29.0%	-29.0%	-54.0%
Trades / yr	4.8	1.3	0

If you pick one asset: QQQ, run with the **Standard** variant — best risk-adjusted return and validated out-of-sample. **SOXX** (Conservative variant) is the higher-octane alternative; both beat the other 8 ETFs tested. **VGT** ranks well in-sample but its edge doesn't confirm out-of-sample.

The rules

Standard (central): hold QQQ while SMA-50 > SMA-200; sell to cash on a death cross (SMA-50 < SMA-200); after an exit, re-enter as soon as price closes back above its 50-day SMA — don't wait for the golden cross; keep each position ≥ ~10 trading days. ~5 trades/yr.

Conservative: same, but re-enter only on a full golden cross. Simpler, ~1 trade/yr, tighter crash control, lower return.

What to know

- Edge is concentrated in **bear markets**; it trails buy-and-hold in sustained bulls.
- Hold cash in **T-bills / money-market** (~4%) — part of the return edge depends on it.
- Use a **tax-advantaged account** (switches realize gains). Use QQQ/QQQM, not leveraged TQQQ.
- Won't dodge **sudden one-month crashes** (COVID); whipsaws in choppy sideways markets.

Historical backtest of mechanical rules on daily QQQ, 1999–2026; cash earns 4%/yr, 5 bps cost per switch, signals acted next session (no look-ahead). **Not investment advice; past performance does not guarantee future results.** Full report: QQQ_strategy.html · methodology: analysis/STRATEGY.md.